

Olevel

Chp:- Inflation

Retail price Index |

Consumer price Index



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Retail price Index / Consumer Price Index

↓
Measure of inflation / way to determine rate of inflation
for e.g.
2015 $\Rightarrow$ 10%

Government



Statisticians

$\rightarrow$ survey $\rightarrow$ Households $\rightarrow$ Basket of goods



Data collection



weights provided



comparison



Base year

$\rightarrow$ Stable year, no war situation, less fluctuation $\Rightarrow$ Base year = 100



cost of living



Rate of inflation



+ve (inflation)



-ve (Deflation) (Negative inflation)

Goods on which frequent consumption is done

Basket of goods

Higher the weight, more is the importance

proportion spent from income on a commodity

Food weight 5 to 10, proportion spent on food increases, e.g. developing economy

Construction of Retail price index or consumer price index

- * Selection of a representative basket of goods and services
- * Selection of base year
- * This is given a value of 100
- * Allocation of weights to particular goods and services to reflect relative importance in basket
- * Idea of changes in the overall weighted average price of basket over a time period.

Retail Price Index / Consumer Price Index

It is an index of prices of goods and services purchased by an average household. Movement in the index shows how the cost of living has changed. Annual increase in the retail price index is actually the rate of inflation in the economy. Thus if RPI went up from 100 to 110 during a year, we would say that the rate of inflation was 10%.

Government statisticians periodically survey a representative group of households which show how consumers spend their incomes. The representative basket of commodities is thus determined comprising of about 700 different commodities. The survey also helps in calculating the proportion of income spent on each good which becomes the weight of that particular good. Weights show the importance of goods in the basket and contribute to retail price index accordingly as a result of a given increase in the prices of goods.

Once weights are chosen, some base year is selected and the prices are given an index of 100 in the base year. The RPI is then calculated by multiplying the index by weights to arrive at the weighted index which are then added together to arrive at RPI. The index of a particular year is then compared with the previous year or base year to find out the rate of inflation in that year.

Question

Q1 Explain how inflation is measured? 8